

compensation for the year, or \$50,000 in 2012, whichever is less. These limits are increased periodically to adjust for inflation.

Your employer is subject to strict IRS regulations to ensure that your 401(k) plan doesn't discriminate against lower-paid employees. If you're a highly compensated employee (an employee who made \$100,000 or more in the prior year or owned 5 percent or more of the company), your contributions will be limited by how much the less highly compensated employees contribute. Your employer may have adopted a safe-harbor provision that does away with the limits for highly compensated employees by making a certain level of matching contributions or nonelective employer contributions for all eligible employees.

401(k) Vesting

You're always 100 percent vested in your own contributions to the plan. The employer match is often subject to vesting, which means you earn the right to it gradually, over a number of years of employment with the company. There are two types of vesting schedules. About half of all 401(k) plans have *cliff vesting*, where you don't own any of the matching contributions until you've worked for the company for a certain amount of time. The Economic Growth and Tax Relief Reconciliation Act of 2001 shortened the maximum vesting schedule for cliff vesting to no more than three years. The other type of vesting schedule is *graded vesting*, where you own an increasing percentage of the employer match over several years. Under the 2001 law, vesting must take place in no more than six years. A typical vesting schedule will now be 20 percent after the second year, 40 percent after the third year, 60 percent after the fourth year, 80 percent after the fifth year, and 100 percent after the sixth year.

It's important to consider the impact on your 401(k) when you're thinking of changing jobs. If your plan has cliff vesting, and you leave before working the required number of years, you walk away from everything your employer has contributed as matching funds. You could possibly earn thousands of additional dollars in company matching funds by staying in your current job for a few more months or years. Let's assume you had matching contributions of \$6,000 and a vesting schedule of 20 percent per year for five years. If you left for a new job after three years, you'd take \$3,600 ($\$6,000 \times 60 \text{ percent} = \$3,600$) of matching funds with